# BIC   The Beginner’s Guide to Investing

**Babcock Investors Club • Educational Series #1**

Investing means putting money to work today so it can grow over time. Unlike saving, which preserves money, investing builds wealth. The earlier you start, the more you benefit from compound interest   the engine that turns small, consistent contributions into meaningful sums over decades.

### 1. Know your goal and time horizon

Money you need within a year belongs in savings. Money for goals three or more years away graduation, a business, retirement   can tolerate market ups and downs and belongs in investments.

### 2. Understand the asset classes

Stocks: ownership in companies. ETFs and index funds: baskets of stocks that spread risk. Mutual funds: professionally managed pools. Fixed income: bonds and Nigerian treasury bills, lower risk. Crypto and forex: high volatility   size positions carefully.

### 3. Start in Nigeria the right way

You cannot open a CSCS account directly   you must go through a SEC-licensed stockbroker (e.g. Stanbic IBTC Stockbrokers, Meristem, CardinalStone, or a digital platform like Bamboo, Trove or Chaka). Provide your BVN, a government ID, proof of address, and a passport photo. Your broker creates your CSCS account (24 hours to 3 business days) and your shares are held in your own name   safe even if the broker shuts down.

### 4. Costs you will pay

Trading on the NGX typically costs between 1.5% and 2.5% of trade value: brokerage commission (0.75% 1.35%), SEC fee (0.30% on buys), NGX fee (0.30% on sells), CSCS fee (0.30%), stamp duty (0.08%), and 7.5% VAT on the fees. Small fees matter   factor them into returns.

### 5. The Nigerian market today

The NGX All-Share Index rose roughly 45.9% in 2023, about 37.65% in 2024, and a further 51.19% in 2025 (closing at a record 155,613.03 points on Dec 31, 2025)   one of the strongest multi-year runs in nearly two decades. The NGX also caps daily moves at –10%, a built-in circuit breaker. Past performance never guarantees future returns.

### 6. Build the habit

Invest a fixed amount regularly   weekly or monthly   regardless of price. This is dollar-cost averaging: it removes emotion and buys more shares when prices are low. Diversify across sectors. Never invest money you cannot afford to lose, and avoid anyone promising guaranteed returns. Check the SEC register (sec.gov.ng) to verify a broker.

Disclaimer: This guide is for educational purposes only and is not financial advice. Always do your own research.